AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII

ANNUAL EXAMINATIONS (THEORY) 2025

Banking Paper II

Time: 1 hours 50 minutes Marks: 35

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's Signature**

RUBRIC

2. There are TEN questions. Answer ALL questions. Questions 10 offers TWO choices. Attempt any ONE choice.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or in erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a scientific calculator if you wish.

Q.1. (Total 3 Marks)

Give ONE merit of each of the given banking systems (Attempt any THREE).

Unit banking _____

_____

Branch banking _____

_____

Group banking _____

_____

Corresponding banking _____

_____

Q.2. (Total 4 Marks)

Explain the importance of commercial banks in the economy for the following stakeholders:

Businessman/ Entrepreneur: _____

_____

Government: _____

_____

General public: _____

_____

Global perspective (international trade): _____

_____

Q.3. (Total 2 Marks)

Explain the given secondary functions of a commercial bank.

Utility services: _____

_____

Agency services: _____

_____

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Q.4. (Total 4 Marks)

Describe any FOUR factors that lead to changes in the amount of the 'cash reserves' held by the central bank in an economy.

Q.5. (Total 3 Marks)

Distinguish between commercial bank and central bank with reference to its operations.

	Commercial Bank	**Central Bank**
i.		
ii.		
iii.		

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Q.6. (Total 3 Marks)

Draw a specimen of a bill of exchange.

Space for drawing specimen

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Q.7. (Total 3 Marks)

Sameer, a successful entrepreneur, is considering expanding his business operations by investing in a new manufacturing facility. However, he lacks the necessary funds to finance the expansion and is planning to borrow money from a credit institution.

i. Suggest any ONE credit institution that would be suitable for his business. (1 Mark)

_____

_____

ii. Give any ONE merit and any ONE demerit of borrowing money from the credit institution identified in part i. (2 Marks)

_____

_____

_____

_____

Q.8. (Total 3 Marks)

Explain any THREE macroeconomic objectives of a government concerning the Balance of Payments (BOP).

Q.9. (Total 3 Marks)

Explain any THREE roles of 'Securities and Exchange Commission of Pakistan (SECP)'.

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Q.10. (Total 7 Marks)

EITHER

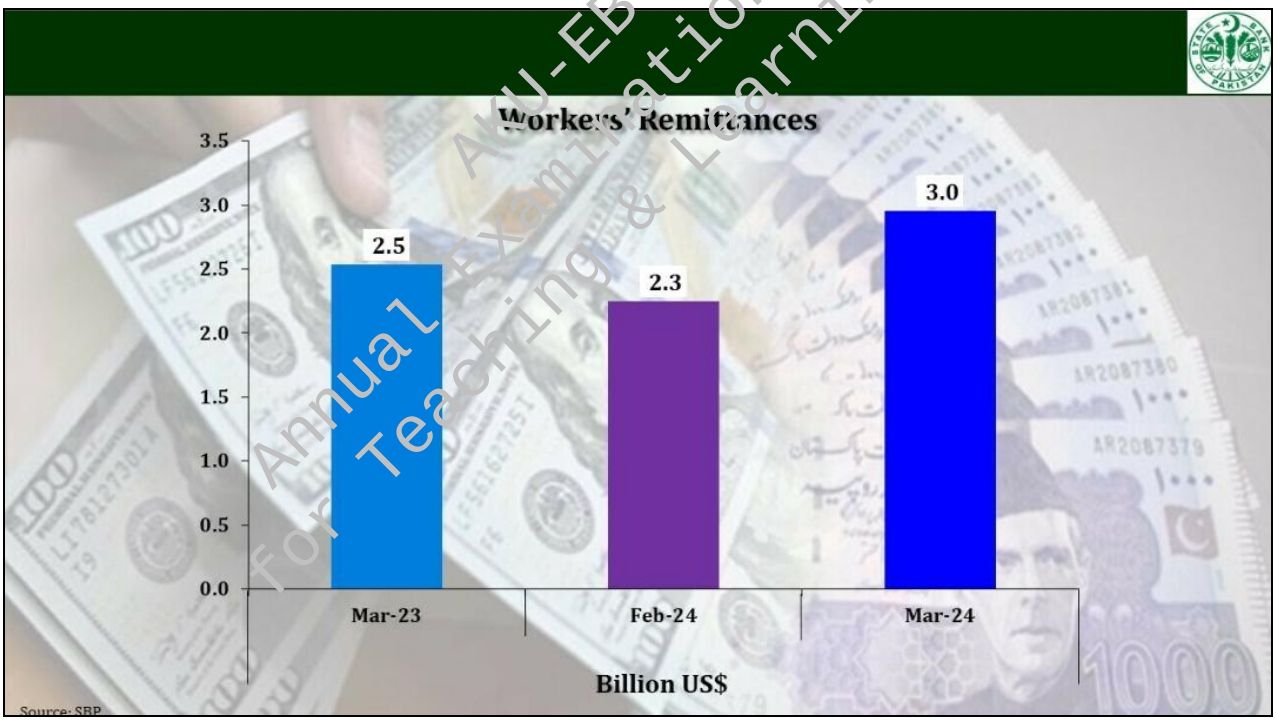
a. Ahmed, an entrepreneur, wants to export textile products to international market. For this purpose, he is considering a suitable mode of secure payment for his foreign trade transactions.

i. Which credit instrument would you recommend for his international trade transactions and why? (3 Marks)

ii. Discuss any TWO advantages and any TWO disadvantages of the instrument recommended in part i, in the context of Ahmed's needs. (4 Marks)

OR

b. "Inflow of overseas workers' remittances significantly increased to $3 billion in March 2024, 31.3% higher on a month-on-month (MoM) basis when compared to $2.25 billion in February 2024, showed data released by the State Bank of Pakistan (SBP) on Monday."
(https://www.brecorder.com/news/40297774)



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With reference to the given information, analyse any FOUR impacts of remittances on domestic economy and any THREE impacts on external economy. (7 Marks)

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END OF PAPER

Please use this page for rough work

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